



“STAY THE COURSE FOR 10, 15, EVEN 20 YEARS”

Rajeev Thakkar, CIO and Director at Parag Parikh Financial Advisory Services, on navigating the choppy markets

BY SHAILENDRA BHATNAGAR

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RAJEEV THAKKAR, CHIEF Investment Officer and Director at Parag Parikh Financial Advisory Services (PPFAS), helms the popular equity scheme, Parag Parikh FlexiCap Fund. This scheme has compounded at 19% each year in the last 11 years. Thakkar speaks to *Business Today* about his investing philosophy and how his flagship scheme is navigating the treacherous volatility in stock prices. Edited excerpts:

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Dalal Street has witnessed a sharp correction in valuations. Given the relative stability in the markets now, where are you allocating fresh funds?

As for investment opportunities, the current market environment is much more exciting compared to six months ago, when finding good opportunities was extremely challenging. However, this isn't like September-October 2008 or March 2020, when one had to liquidate bank accounts to invest heavily in equities.

I don't anticipate a V-shaped recovery, so it's important to take your time and build a strong conviction before investing. Every key factor must align—the quality of the promoter and management, the strength of the business, the balance sheet, and the valuation—before making a purchase.

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Your portfolio holds significant positions in the financial services sector, including

**LARGE CAPS
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non-banking financial companies. Where are you allocating fresh capital?

We have a substantial stake in private sector banks, which were already attractively valued even before the downturn. Following the corrections, they now appear to be even more reasonably priced.

Fresh inflows are primarily directed toward some stocks we already own. Additionally, with the index correcting by 15-20% and certain individual stocks seeing steeper declines, several segments are becoming increasingly attractive.

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What are you most comfortable with—large-, mid- or small-caps—for this calendar year and maybe the next?

If someone is investing in a market cap-based fund, I would recommend focusing on large-cap funds. But for those picking individual stocks, there will be opportunities across segments. Before the market fell, large-cap stocks were